

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 25-07

PKDC, LLC

v.

COSCO Shipping Lines Co., Ltd.

RESPONDENT'S VERIFIED ANSWER

Respondent COSCO Shipping Lines Co., Ltd. ("COSCO" or "Respondent")¹ hereby answers the Verified Complaint of PKDC, LLC ("PKDC" or "Complainant"), served on May 6, 2025.

RESPONSES TO NUMBERED ALLEGATIONS

I. COMPLAINANT

1. Complainant, PKDC, is a limited liability company existing under the laws of the State of Colorado with its principal place of business at 5641 N Broadway, Denver, Co 80216. Complainant may be contacted through its counsel at the numbers and email addresses listed below.

ANSWER: Respondent lacks knowledge or information sufficient to admit or deny the allegations of Paragraph 1.

¹ As used herein, the terms "COSCO" and "Respondent" mean only Respondent COSCO Shipping Lines Co., Ltd. and do not include COSCO Shipping Lines (North America), Inc. ("CSLNA"). The Complaint uses the term "COSCO" in a confusing manner that could be read to include CSLNA, but CSLNA is not an ocean common carrier and is not a respondent in this proceeding.

II. RESPONDENT

2. Respondent COSCO Shipping Lines Co., Ltd. (“COSCO”) is a corporation organized under the laws of China. COSCO’s corporate headquarters is located at No. 378, Dong Da Ming Road, Shanghai, China. COSCO is an ocean common carrier conducting business in the United States through Respondent COSCO Shipping Lines (North America) Inc. (“COSCO America”). COSCO America’s principal place of business is located at 100 Lighting Way, 3rd Floor, Secaucus, New Jersey 07094. COSCO was at all times pertinent to this complaint an ocean common carrier within the meaning of the Shipping Act, 46 U.S.C. § 40102(7), subject to regulation by the Federal Maritime Commission (“FMC”).

ANSWER: Respondent admits the allegations of Paragraph 2 that Respondent is an “ocean common carrier” as defined by the Shipping Act and FMC regulations and that it is subject to regulation by the FMC, that it has a corporate headquarters at the address listed and that CSLNA has an office at the listed address. Respondent otherwise denies the remaining allegations in Paragraph 2.

III. JURISDICTION AND LEGAL AUTHORITY

3. The FMC has jurisdiction over this matter pursuant to the Act, 46 U.S.C. 40101 et. seq.

ANSWER: The allegations of Paragraph 3 constitute a legal conclusion, to which no answer is required. To the extent that an answer is required, Respondent denies the allegations in Paragraph 3.

4. The FMC has personal jurisdiction over Respondent as an ocean common carrier as the term is defined in 46 USC §§ 40102(7)(9) and (18).

ANSWER: Respondent admits (with the caveat that COSCO does not include CLSNA) the allegations of Paragraph 4 only with respect to shipments arriving in or departing from a port in the United States. Otherwise, Respondent denies the allegations of Paragraph 4.

5. Respondent's actions complained of herein constitute a failure of Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering property of Complainant in violation of 46 U.S.C. § 41102(c) and 46 CFR § 545.5, including the Incentive Principal as articulated in Section 545.5.

ANSWER: The allegations of Paragraph 5 constitute a legal conclusion, to which no answer is required. To the extent that an answer is required, Respondent denies the allegations in Paragraph 5.

IV. THE MATTERS COMPLAINED OF (ALLEGED FACTS)

6. Complainant is a U.S. based furniture distributor based in Colorado. Complainant imports furniture from various countries including China, Vietnam, and India.

Complainant relies on ocean common carriers, including Respondent, to ship goods to the United States.

ANSWER: Respondent lacks knowledge or information sufficient to admit or deny the allegations of Paragraph 6.

7. In 2022, PKDC shipped hundreds of containers using COSCO under a shipping contract entered into between PKDC and COSCO.

ANSWER: Respondent admits that a service contract (Service Contract No. LAI22502) was entered into between PKDC, LLC and COSCO, the nominal term being May 1, 2022 and April 30, 2023.

8. In the shipping contract, Respondent agreed to provide up to 10-days free chassis rental from Respondent's nominated chassis provider.

ANSWER: Respondent denies the allegations of Paragraph 8.

9. Many, if not substantially all of the subject containers were landed in various ports in California and then shipped to the UP Memphis and BNSF Memphis rail terminals via rail.

ANSWER: Respondent denies the allegations of Paragraph 9.

10. During much of 2022, UP Memphis and BNSF Memphis rail terminals experienced an influx of containers.

ANSWER: Respondent lacks knowledge or information sufficient to admit or deny the allegations of Paragraph 10.

11. The influx of containers resulted in a variety of issues affecting container unavailability including but not limited to the stacking of containers, in some cases, for months at a time.

ANSWER: Respondent lacks knowledge or information sufficient to admit or deny the allegations of Paragraph 11.

12. The influx of containers also resulted in a systemic shortage of appointments for pick up and return and a shortage of chassis including chassis from the Respondent's nominated chassis provider.

ANSWER: Respondent lacks knowledge or information sufficient to admit or deny the allegations of Paragraph 12.

13. Exacerbating the lack of chassis, often COSCO's required location for container return would not allow dismounting of the container for reuse of chassis to outgate other COSCO containers.

ANSWER: Respondent lacks knowledge or information sufficient to admit or deny the allegations of Paragraph 13.

14. Stacked containers, a lack of appointments and/or lack of chassis including a lack of chassis at the Respondent's nominated chassis provider, rendered containers unavailable for pick up and incapable of being returned and detention and demurrage charges could not incentivize freight fluidity.

ANSWER: Respondent denies the allegations of Paragraph 14.

15. Despite the issues, COSCO assessed PKDC with detention and demurrage on hundreds of containers amounting to hundreds of thousands of dollars in charges.

ANSWER: Respondent admits that PKDC incurred detention charges and COSCO assessed detention charges on the invoices listed in Complainant's Exhibit A, but denies that the majority of those charges were related to shipments moving through U.S. ports. Respondent denies that it assessed any demurrage charges on the invoices listed in Complainant's Exhibit A., and such allegations are otherwise denied.

16. In fact, between May and October of 2022 alone, Complainant was invoiced and paid nearly \$1,000,000.00 in charges assessed by the Respondent. A list of challenged invoices annexed as Exhibit A.

ANSWER: Respondent denies the allegations of Paragraph 16.

17. Per 46 U.S.C. § 41102(c), Respondent is statutorily required to establish and enforce reasonable practices with respect to its assessment of detention and demurrage charges.

ANSWER: Paragraph 17 constitutes a conclusion of law to which no answer is required. To the extent a response is required, Respondent denies Complainant's characterization of 46 U.S.C. § 41102(c).

18. As explained in Section 545.5, "the purpose of demurrage and detention are to incentivize cargo movement," and therefore the FMC "will consider in the reasonableness analysis under section 41102(c) the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity."

ANSWER: Paragraph 18 constitutes a conclusion of law to which no answer is required. To the extent a response is required, Respondent denies Complainant's characterization of 46 C.F.R. 545.5.

19. On information and belief, the majority of the charges complained of herein were assessed as a result of situations out of Complainant's control in violation of the incentive principal and therefore the charges could not serve the primary intended purpose of the promotion of freight fluidity and were therefore unreasonable.

ANSWER: Respondent denies the allegations of Paragraph 19.

20. Complainant and its logistics providers routinely informed Respondent of the issues outside of Complainant's control resulting in containers not being picked up or returned within free time including but not limited to lack of appointments, chassis unavailability, unavailable stacked containers and Respondent was well aware of same.

ANSWER: Respondent denies the allegations of Paragraph 20.

21. For example:

- July 26, 2022, PKDC's logistic provider contacted COSCO and requested a container return location "that will dismount instead of UP so that we may reuse the chassis to outgate cosco containers that are in storage? COSCO responded "empty returns are to go to UPRR, at the moment we don't have another alternative."
- On September 28, 2022, Ms. Jennifer Barr, of COSCO, sent an email acknowledging the issue with stacked containers explaining "[u]nfortunatly when the containers are stacked, there is nothing that can be done to facilitate availability. The rail does not have the ability to pull a container from a stack until other units have been moved. The only thing that can be done is to wait for chassis to open up.
- On September 29, 2022, COSCO was alerted that containers were being stacked for months at a time. Specifically, COSCO was sent the following email:

UP Team, Our customer PKDC has several containers in stacks at your ramp in Marion Arkansas. We are trying to find out why storage is owed on these? If there are no chassis to mount them on, shouldn't storage start after the container is mounted on a chassis? Why should our customer have to pay \$1900 per container because you cannot mount them? Your assistance and attention to this matter is greatly appreciated.
Some of these containers have been in stacks since 7/31.

ANSWER: Respondent lacks knowledge or information sufficient to admit or deny the allegations of Paragraph 21.

22. In addition, the issues occurring at the railyards in 2022 were well publicized. See e.g.
West Coast port congestion leads railroads on a new cross-country trip

ANSWER: Respondent denies the allegations of Paragraph 22.

23. Despite being well aware of the issues affecting the ability to retrieve and return containers, Respondent still assessed hundreds of thousands of dollars in unreasonable charges.

ANSWER: Respondent denies the allegations of Paragraph 23.

VIII CAUSATION²

24. Respondent's practice of assessing charges in violation of the incentive principal directly and proximately caused Complainant injury by forcing Complainant to pay unreasonable and illegal charges.

ANSWER: Respondent denies the allegations of Paragraph 24.

VI DAMAGES

25. Respondent's assessment of unjust and unreasonable charges caused Complainant to pay hundreds of thousands of dollars in unreasonable charges.

ANSWER: Respondent denies the allegations of Paragraph 25.

VII. CAUSES OF ACTION VIOLATION OF 46 U.S.C. § 41102(c) & 46 C.F.R § 545.5

26. Complainant repeats and realleges each allegation set forth above as if fully set herein.

ANSWER: Respondent repeats and realleges each answer set forth above as if fully set forth herein.

27. Respondent's practices alleged herein including assessing charges in violation of the incentive principal constitute a failure to establish, observe, and enforce just and reasonable practices relating to receiving, handling and storing and delivering Complainant's property in violation of 46 U.S.C. § 41102(c).

ANSWER: Respondent denies the allegations of Paragraph 27.

² *Nota bene:* The discontinuity in heading numbers in this and subsequent headings is from the original.

VIII. REQUEST FOR ORAL HEARING

Respondent agrees that a hearing, including cross-examination, is necessary and appropriate and that such hearing should be held in Washington, DC.

AFFIRMATIVE DEFENSES

1. The Federal Maritime Commission lacks subject matter jurisdiction over any claim relating to charges imposed by railroads, ocean terminals, or other third parties.
2. The Federal Maritime Commission lacks subject matter jurisdiction over any claim relating to the carriage of cargo that did not move via ocean carrier through a port of the United States.
3. The Federal Maritime Commission lacks authority to adjudicate this matter to the extent that Complainant's claims sound in contract.
4. The Complaint fails to state a claim upon which relief may be granted.
5. The Federal Maritime Commission lacks adequate procedures to adjudicate this matter, and the Commission's adjudication of this matter would violate the Seventh Amendment of the U.S. Constitution.
6. Complainant waived all of its claims due to its failure to use the procedures required by the Federal Maritime Commission and maintained by Respondent for addressing disputes about detention, demurrage, and per diem charges.
7. Because Respondent maintained procedures for disputing detention, demurrage, and per diem charges and Complainant willfully declined to use them, Respondent's actions were *per se* reasonable.
8. Any harm experienced by Complainant was a result of its own failures, acts, or omissions.

9. To the extent that the claims involve charges assessed, invoiced, or collected by entities other than Respondent, such as railroads, terminal operators, truckers, and storage facilities, Respondent cannot be held responsible for the imposition of such charges.

10. Complainant's claims are barred in whole or in part because Complainant directly or indirectly authorized, consented to, acquiesced in, or ratified some or all of the acts or omissions of which it complains.

11. 46 C.F.R. 545.5 is not a substantive requirement, so cannot be violated.

12. Complainant failed to mitigate any damages.

13. Complainant's claims are barred by the statute of limitations.

14. Complainant's claims are barred in whole or in part by the doctrines of laches, estoppel, waiver, and unclean hands.

DATED: June 27, 2025

Respectfully submitted,

/s/ *Nicholas Webb*

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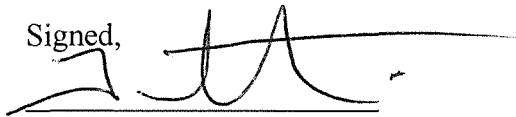
**ATTORNEYS FOR RESPONDENT
COSCO Shipping Lines Co., Ltd.**

VERIFICATION

I, James Houghtalin, declare as follows:

1. I am the Executive Vice President of COSCO SHIPPING Lines (North America) Inc.
2. I am duly authorized to make this verification on behalf of COSCO SHIPPING Lines Co., Ltd.
3. I have read the contents of the Respondent COSCO Verified Answer in FMC Docket No. 25-07 attached hereto, and I verify under penalty of perjury that the statements of fact contained therein are true and correct to the best of my knowledge, information and belief.

Signed,

A handwritten signature in black ink, appearing to be 'J. Houghtalin', written over a horizontal line.

James Houghtalin, Executive Vice President

CERTIFICATE OF SERVICE

I certify that on the 27th of June, 2025, a true and correct copy of the foregoing **VERIFIED ANSWER** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

ATTORNEY FOR COMPLAINANTS:

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